

tions, preventing tunnel vision, and reminding the powers that be that they don't have a lock on all useful truths. Because the technology behind blogs includes creation of an index, the opinions and information they contain are relatively easy to access—a real plus in a world in which we are always at risk of being swamped by a tsunami of undifferentiated data.

Network pioneer John Patrick, former longtime vice president of Internet technology at IBM, offered a compelling vision of how blogs can aid companies and other organizations when he talked to *CIO Insight's* Marcia Stepanek in 2003: "It's a way to energize the expertise from the bottom—in other words, to allow people who want to share, who are good at sharing, who know who the experts are, who talk to the experts or who may, in fact, be one of the experts, to participate more fully. We all know somebody in our organization who knows everything that's going on. 'Just ask Sally. She'll know.' There's always a Sally, and those are the people who become bloggers."¹³

THE WINNING CIRCLE

Energizing *all* the talent in an organization, not just that at the top or that of the chosen, increases productivity and value, and not just value resulting from better morale because of greater inclusiveness—no small thing in itself. I learned this firsthand more than sixty years ago when I was a graduate student at Massachusetts Institute of Technology. A group of social psychologists at MIT (I was among the most junior) conducted an elegant experiment that demonstrated that collaboration leads

to better outcomes when solving complex problems—as virtually all our problems, beyond which tie to wear, are today. For the experiment, five subjects sat at a round table, hidden from each other by partitions.¹⁴ Each subject received a box that contained six colored marbles. The participants were asked to choose the single one of their six marbles that was the same color as just one of each of the others' marbles. The subjects couldn't talk to each other, but they could share information by passing messages on index cards through slots in the partitions.

With the round table, we were able to simulate the flow of information in three kinds of organizations. We simulated the pyramidal bureaucracy that still persists in many organizations with what we called the Wheel. In that arrangement, all the messages went to a single person, the unseen leader. The Circle was the most collegial configuration. In it, each subject could pass messages to both immediate neighbors. We also had a configuration we called the Chain in which all the index cards were passed in one direction.

As soon as a subject felt sure which marble matched one of all the other subjects' marbles, that marble was dropped down a rubber tube in the table. The experimenter at the other end of the tube was able to measure the speed and accuracy with which the subjects chose their matching marbles. When the data were subsequently analyzed, the result was a landmark finding—solid empirical evidence that collaboration beats top-down control in complex decision making.¹⁵

I say *complex decision making* because when the task was easy—that is, when the marbles were all readily identified

bright, single colors (called “puries” by aficionados)—the top-down Wheel was the most efficient configuration. But as soon as the task was made more difficult, by using mottled, ambiguously colored marbles such as cat's eyes, the democratic Circle was fastest and most accurate. Because the experiment was carefully controlled, the reason for the Circle's superiority was clearly its democratic flow of information. And there was a bonus to the Circle. When the Wheel proved superior at its simple task, only the leader felt good. The non-leaders experienced no rush of satisfaction. But when the Circle beat the other configurations on its more demanding task, higher morale was reported all around.

The Internet was only a dream when that experiment was first done. But its findings are confirmed again and again in today's wired, networked world. Several years ago, I participated in a forum on leadership in the twenty-first century. Fellow speaker Meredith Belbin, an expert on teams, offered a compelling insight. He speculated that the traditional idea of the alpha male leader may be natural to us as primates. But, he argued, this century's ever-increasing interconnectedness calls for new models, notably the “sophisticated interdependent systems of social insects.”¹⁶ Information does not just circulate within today's organizations. Because of digital technology, information increasingly flows between organizations and such outside entities as their clients and suppliers. As Belbin observed: “Information is coming in from the side instead of from the top down. Such a switch in information supply is creating pressure on the top. By losing its likely monopoly on leadership, the top

can survive with credibility only by empowering the most suitable individuals and teams.”

Knowledge is still power. But as knowledge becomes more widely distributed, so does the power it generates. The very idea of leadership is beginning to change as power is democratized. At such influential workplaces as Google, leadership rotates within small groups of engineers. As greater openness demystifies what leaders do, we are likely to see less time and money spent on costly, time-consuming executive searches. Leadership may come to be seen as a role that moves from one able individual in an organization to another as projects come and go. Soon the CEO may have to share responsibilities, at least for a time, with John Patrick's Sally, the one who knows everything. And should leadership become a transitory role, one likely and welcome result will be a drop in stratospheric executive compensation, one of the most corrosive facets of corporate life today.

Collegial collaboration enhances transparency, which in turn enhances success. Lack of transparency erodes trust and discourages collaboration. One place to see the transformative effect of transparency is at companies that practice so-called open-book management. As Joe Nocera explains in a 2006 column in the *New York Times*, that term, first used by a writer at *Inc.* magazine almost two decades ago, refers to the sharing of financial information with everyone in a company.¹⁷ But effective proponents do more than throw numbers at their staff, Nocera notes. They explain what the financial information means and how employees contribute to the group's success. As

evidence of the effectiveness of open-book management, Nocera reports that a 2005 survey conducted by *Inc.* found that 40 percent of the firms on its yearly list of the five hundred fastest-growing private companies employed the practice in some fashion—far more than in the business community as a whole. And it has recently been instituted at *Inc.* by Mansueto Ventures, the private firm that bought the magazine in 2006. Again and again, studies show that companies that rate high in transparency tend to outperform more opaque ones. In a global study of corporate transparency conducted in 2005, for example, the twenty-seven U.S. firms that appeared among the thirty-four most transparent companies beat the S&P 500 by 11.3 percent between February 2004 and February 2005.

More and more companies are choosing transparency for two reasons: they have less and less choice—and it works. Don Tapscott talked about its many benefits shortly after publication of his 2003 book, *The Naked Corporation: How the Age of Transparency Will Revolutionize Business*. “This isn’t simply New Age stuff,” he told *CIO Insight* magazine.¹⁸ “It’s about money and efficiency. When you have openness and candor, you drop transaction costs, you reduce office politics and game playing, you increase employee loyalty, you increase the effectiveness of collaboration and so on.” That said, it is important to remember that, like democracy, transparency isn’t easy. It requires courage and patience on the part of leaders and followers alike. It also requires a considerable investment of time, if only to share information with a larger group of people.